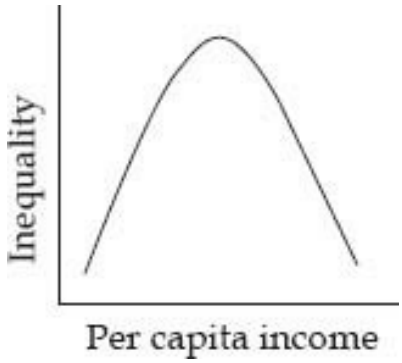
Engel's law

Ernst Engel said that with the increase in income the proportion of expenditure spent on food falls down. But there may be an increase in the absolute amount spent on food. For example when the income is ₹ 3,000 per month the family may spend ₹1500 on food. It is 50 per cent of income. But when the income rises to ₹10,000 the family may spend ₹3,500 on food. In absolute term there is an increase of ₹2000 but in percentage term it is only 35 per cent of total income. So the proportion spent on food came down from 50 per cent to 35 per cent.

Kuznets Curve

The Kuznet curve says that in a developing economy initially the inequality will increase and with increase in growth the inequality will come down. This was said by economist Simon Kuznets. It is a bell shaped curve. It is shown in the Figure 4.3.

Figure 4.3



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1 https://en.oxforddictionaries.com/ definition/ subsistence_level
2 http://www.thehindubusinessline.com/ opinion/poverty-redefined/article6167218.ece
3 Instructions guide to field staff-Volume I, Designs, Concepts, Definitions and Procedures. NSSO 64th Round, July 2007-June 2008